

(Predicted – Advanced)

Please write clearly in block capitals.

Centre number                Candidate number  

Surname \_\_\_\_\_

Forename(s) \_\_\_\_\_

Candidate signature \_\_\_\_\_

I declare this is my own work.

# GCSE ECONOMICS

## Paper 2 How the Economy Works

### Predicted Paper – Advanced Difficulty

## Predicted Exam

Morning

Time allowed: 1 hour 45 minutes

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## Materials

You will need no other materials.

You may use a calculator.

## Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this book. Cross through any work you do not want to be marked.

## Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is **80**.
- Questions should be answered in continuous prose. You will be assessed on your ability to:
  - use good English
  - organise information clearly
  - use specialist vocabulary where appropriate.

| For Examiner's Use |      |
|--------------------|------|
| Section            | Mark |
| A                  |      |
| B                  |      |
| TOTAL              |      |

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**8136/2-PA**

## Section A

Answer **all** questions in the spaces provided.

For questions with four responses, only **one** answer per question is allowed.  
 For each question, completely fill in the circle alongside the appropriate answer.  
 CORRECT METHOD ● WRONG METHODS ⊗ ■ ■ ■

- 0 1** Which of the following best describes the effect on aggregate demand of a simultaneous rise in interest rates and increase in income tax? **[1 mark]**

- A Ambiguous effect on aggregate demand ☐
- B Clear decrease in aggregate demand ☐
- C Clear increase in aggregate demand ☐
- D No change in aggregate demand ☐

- 0 2** Which combination of policies would most likely be used to address a recession combined with a current account deficit? **[1 mark]**

|          | Monetary policy      | Exchange rate      |                       |
|----------|----------------------|--------------------|-----------------------|
| <b>A</b> | Lower interest rates | Allow depreciation | <input type="radio"/> |
| <b>B</b> | Lower interest rates | Force appreciation | <input type="radio"/> |
| <b>C</b> | Raise interest rates | Allow depreciation | <input type="radio"/> |
| <b>D</b> | Raise interest rates | Force appreciation | <input type="radio"/> |

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- 0 3** Which of the following is most likely to cause a conflict between achieving low inflation and low unemployment? **[1 mark]**
- A An appreciation of the exchange rate ☐
  - B An expansionary fiscal policy during a boom ☐
  - C Improvements in productivity ☐
  - D Supply-side reforms in the labour market ☐
- 0 4** A regressive tax is best illustrated by which of the following scenarios? **[1 mark]**
- A A household earning £20,000 pays £2,000 VAT; a household earning £100,000 pays £5,000 VAT ☐
  - B All households pay the same percentage of income in tax regardless of earnings ☐
  - C Higher-income households pay a greater proportion of their income in tax ☐
  - D Tax allowances rise in line with earnings ☐
- 0 5** Which of the following is most likely to result in imported inflation for the UK? **[1 mark]**
- A A depreciation of the pound combined with rising global commodity prices ☐
  - B A fall in global commodity prices ☐
  - C An appreciation of the pound combined with falling global demand ☐
  - D Increased UK labour productivity ☐

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- 0 6** An economy has a nominal GDP growth rate of 5.2% and an inflation rate of 3.5%. What is the approximate rate of real economic growth? **[1 mark]**
- A 1.5% ☐
- B 1.7% ☐
- C 3.5% ☐
- D 8.7% ☐
- 0 7** Which of the following is the most likely long-run effect of persistent supply-side policies aimed at improving education? **[1 mark]**
- A Higher long-run unemployment ☐
- B Increased productive capacity ☐
- C Increased short-run inflation ☐
- D Worsening of the current account ☐
- 0 8** A government's budget deficit rises from 3% to 7% of GDP during a recession. Which of the following is the most likely explanation? **[1 mark]**
- A A deliberate policy to reduce unemployment during recession ☐
- B A surprise fall in unemployment ☐
- C Private sector investment has crowded out public spending ☐
- D The economy has entered a boom phase ☐

Do not write o

- 0 9** Which of the following identifies the most likely effects of a significant depreciation of a country's currency? **[1 mark]**

|          | Effect on exports | Effect on inflation |                       |
|----------|-------------------|---------------------|-----------------------|
| <b>A</b> | Decrease          | Decrease            | <input type="radio"/> |
| <b>B</b> | Decrease          | Increase            | <input type="radio"/> |
| <b>C</b> | Increase          | Decrease            | <input type="radio"/> |
| <b>D</b> | Increase          | Increase            | <input type="radio"/> |

- 1 0** If the UK has a current account deficit of £45 billion and capital inflows of £52 billion, which of the following is most likely true? **[1 mark]**

- A The balance of payments as a whole is approximately in balance ☐
- B The government must borrow £7 billion to fund the deficit ☐
- C The pound must depreciate to restore balance ☐
- D UK exports must rise by £45 billion to close the gap ☐

- 1 1** State two examples of supply-side policies that could increase long-run productive capacity. **[2 marks]**

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**1**

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**2**

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**2**

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- 1 2** Explain what is meant by 'crowding out' in the context of government spending. **[2 marks]**

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- 1 3** Explain one role of the Bank of England in maintaining financial stability. **[2 marks]**

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**1 4** Table 1 shows price index data for an economy.

**Table 1**

| Date    | CPI   |
|---------|-------|
| Q1 2023 | 112.5 |
| Q1 2024 | 117.8 |

**1 4 . 1** Using Table 1, calculate the annual rate of inflation at Q1 2024 to one decimal place. **[2 marks]**

Answer%

**1 4 . 2** Explain one limitation of CPI as a measure of inflation. **[2 marks]**

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**Figure 1 – Trade-offs between government objectives**

The UK government has several macroeconomic objectives, including low and stable inflation, low unemployment, steady economic growth, and a satisfactory balance of payments. However, achieving all of these simultaneously is difficult because policies used to achieve one objective can often conflict with another.

For example, policies that stimulate economic growth and reduce unemployment may also cause inflation to rise. Similarly, raising interest rates to control inflation can harm economic growth and worsen unemployment. Governments must therefore carefully balance competing objectives when designing economic policy, and may sometimes have to accept trade-offs.

**15** Using Figure 1, analyse how a policy to reduce unemployment could potentially conflict with the objective of low and stable inflation.

**[6 marks]**

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**1 6** State two policies that could be used to address the market failure caused by demerit goods. **[2 marks]**

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**1 7** Explain one impact on the UK government's budget of a prolonged recession. **[2 marks]**

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**1 8** Explain one difference between a commercial bank and a building society. **[2 marks]**

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**1 9** Table 2 shows government finances for an economy.

**Table 2**

|                           | £ billions |
|---------------------------|------------|
| Total government spending | 1180       |
| Total tax revenue         | 1045       |

**1 9 . 1** Using Table 2, calculate the budget balance as a percentage of government spending, to one decimal place. State whether it is a surplus or deficit. **[2 marks]**

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Answer

%

**19.2**

Explain one reason why a government may accept a budget deficit during a recession.

**[2 marks]**

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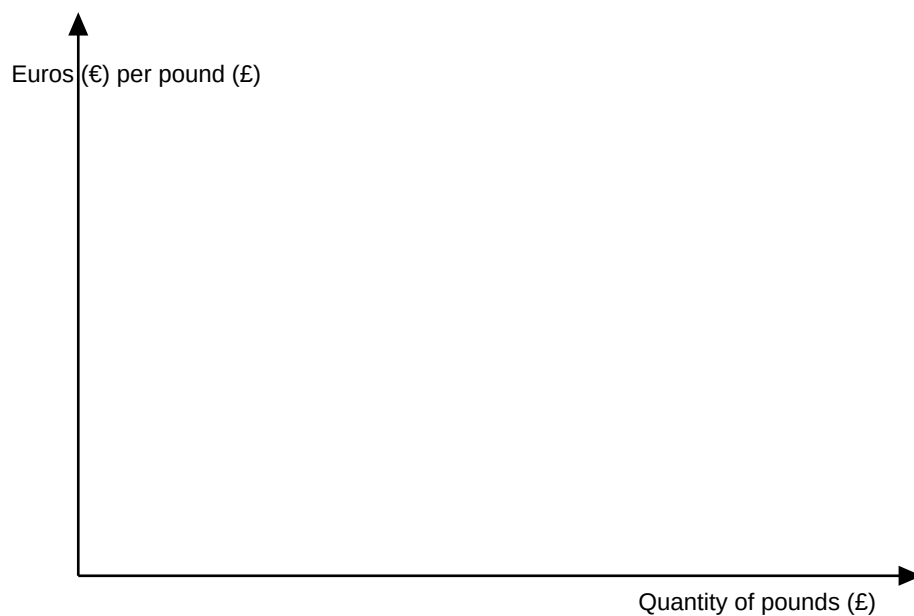
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**2 0** Figure 2 shows the Euro (€)/British pound (£) exchange rate.

**Figure 2 – Euro (€)/British pound (£) exchange rate**



On Figure 2, draw and label the effects on the exchange rate of a significant fall in UK interest rates relative to Eurozone interest rates.

**[3 marks]**

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### Figure 3 – UK government debt as % of GDP

The UK's national debt has risen substantially since the 2008 financial crisis and has been further increased by the COVID-19 pandemic. By 2023, UK government debt had reached approximately 100% of GDP, its highest level since the 1960s.

Some economists argue that rising national debt is a serious economic problem. Future generations will have to pay for today's spending through higher taxes, and large debt servicing costs reduce resources available for public services. However, others argue that debt is less of a concern when interest rates are low, and that borrowing to invest in infrastructure or education can boost long-run growth. Attempting to reduce debt quickly through austerity can also harm the economy.

**21** Using Figure 3, assess whether reducing the national debt should be a priority for the UK government. **[9 marks]**

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## Section B

Answer **all** questions in the spaces provided.

### Item A

#### UK balance of payments and exchange rates

The UK has run a persistent current account deficit for many decades. This deficit is financed by capital inflows from abroad, including foreign investment into UK businesses, property, and government bonds. Some economists argue that a large and persistent current account deficit is unsustainable and poses risks to the UK economy.

Data for the UK current account in 2022 is shown in Table 3.

**Table 3**  
**UK current account 2022**

|                               | £ billions |
|-------------------------------|------------|
| Exports of goods and services | 825.6      |
| Imports of goods and services | 893.4      |
| Primary income balance        | -22.5      |
| Secondary income balance      | -15.2      |

Source: ONS

The exchange rate plays a significant role in determining the balance of payments. A depreciation of the pound makes UK exports cheaper and imports more expensive, which can help reduce a trade deficit. However, depreciation can also lead to imported inflation, particularly for countries that rely heavily on imported energy, food and raw materials.

Beyond the exchange rate, the UK government can try to address the current account deficit through supply-side reforms, competitiveness policies, or demand-reduction measures.

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### Item B

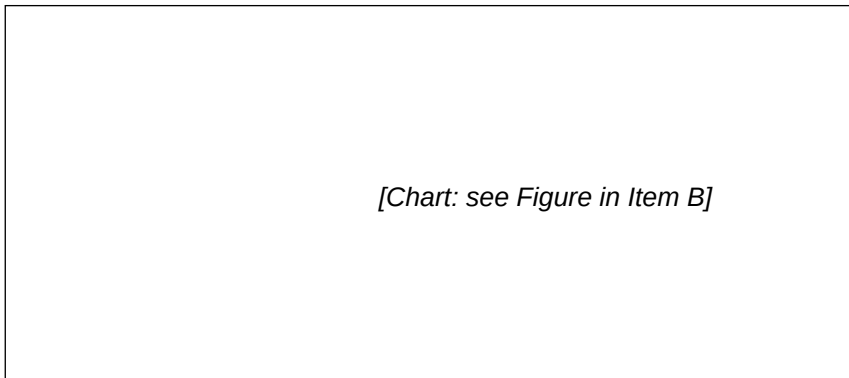
#### Globalisation, winners and losers in the UK

Globalisation has transformed the UK economy over the past four decades. The share of UK employment in manufacturing has fallen sharply as production has shifted to lower-cost economies, particularly in Asia. At the same time, UK services – including finance, insurance, consulting, and higher education – have become major exports and employ millions of workers.

The benefits and costs of globalisation have not been shared equally. Higher-skilled workers in services have generally gained from globalisation, while lower-skilled manufacturing workers have often seen stagnant or falling real wages. Regional inequality has widened, with London and the South East benefitting more than traditional industrial areas in the Midlands and North.

Figure 4 shows UK manufacturing as a percentage of total UK employment between 1980 and 2022.

**Figure 4 – UK manufacturing employment as % of total UK employment 1980–2022**



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2 2

Define the term 'current account of the balance of payments'.

[2 marks]

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**2 3**

Using Table 3 in Item A, calculate the UK current account balance for 2022 in £ billions. Tick (✓) one box to indicate whether it is in surplus or deficit.

**[3 marks]**

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Current account balance is in:

Surplus

☐

Deficit

☐

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**2 4**      Using Item A, explain two policies other than changing the exchange rate that the UK government could use to reduce the current account deficit.      **[6 marks]**

**Policy 1**

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**Policy 2**

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Using Item B, analyse the possible consequences of globalisation for lower-skilled workers in the UK.

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Predicted Paper – AQA 8136/2 format

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Using Item A and Item B and your own economic knowledge, discuss whether the benefits of globalisation for the UK outweigh the costs. Justify your answer.

**[15 marks]**

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**END OF QUESTIONS**

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